service can be provided by rationalizing railway fares to be commercially competitive in order to raise resources for investments. Railway passenger fares for non-AC classes could be raised in periodic small doses to compete with non-AC bus fares in a period of two years. Fares of suburban and local trains in cities should also be raised in small doses gradually to achieve two-thirds of full cost recovery over a three-year period. Fares of AC services should be made competitive to AC bus fares over a period of two to three years raised in quarterly instalments. Freight traffic should be competitively priced to the road sector, even 5–10 per cent lower on routes where there is spare capacity. Dependence of the Railways on freight income from coal transportation needs to be reduced by diversifying its freight business.

The Station Development Programme needs to be accelerated. The Railways should identify 100 stations, out of a total of about 8000-odd stations, where the real-estate value of the building and the land appurtenant thereto offers a good possibility of monetization by improving customer experience. These stations should thereafter be developed on the pattern of the model of AAI for giving six airports on concession, which has unlocked the potential value of cityside development.

Ad hoc commercialization of passenger services done by transferring a few trains to the Indian Railway Catering and Ticketing Corporation (IRCTC) will not work. Railway passenger services should be reorganized by offering these on a twenty to twenty-five-year concession basis for the private sector to invest in refurbishing existing train sets and invest in new ones. The privatization process can begin with specialized train services like Vande Bharat, Rajdhani, Shatabdi and Duronto being offered first. The Railways/regulator should specify minimum service standards and set a formula for fare fixation. Non-premium services can be privatized on a regional/state/sub-state basis with improved standards of services being specified. This can be done in the second phase. Running trains by handing